

Microsoft Corp Form 10-K (SEC EDGAR seed)

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UNITED STATES

SECURITIES

FORM

10-K

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ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the Fiscal Year Ended

June 30

OR

?

TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the Transition Period From to

Commission File Number

001-37845

MICROSOFT CORPORATION

Washington

91-1144442

(STATE OF INCORPORATION)

(I.R.S. ID)

ONE MICROSOFT WAY

98052-6399

Securities registered pursuant to Section 12(b) of the Act:

Title of each class

Trading Symbol

Name of exchange on which registered

Common stock, \$

0.00000625

MSFT

Nasdaq

3.125% Notes due 2028

MSFT

Nasdaq

2.625% Notes due 2033

MSFT

Nasdaq

Securities registered pursuant to Section 12(g) of the Act:

N

one

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.

Yes

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ?

No

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files).

Yes

Large Accelerated Filer

?

Accelerated Filer ?

Non-accelerated Filer ?

Smaller Reporting Company

?

Emerging Growth Company

?

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with

any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ?

Indicate by
internal con
firm that pro

As of December 31, 2025, the aggregate market value of the registrant’s common stock held by non-affiliates of the registrant was \$
trillion based on the closing sale price as reported on the NASDAQ National Market System. As of July 23, 2026, there were

3.6
7,425,545,4

MICROSOFT CORPORATION

FORM 10-K

For the Fiscal Year Ended June 30, 2026

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PART I

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Item 1

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We develop and support a broad portfolio of technology solutions for individuals and businesses, focusing on secure, trusted, and innovative platforms and applications that meet evolving customer needs across AI, cloud computing, productivity and collaboration, and personal computing. We strive to create opportunity, growth, and impact in every country around the world.

AI is funda
technology

We believe AI should be as empowering as it is powerful, and we're committed to designing and deploying AI responsibly with safety and security from the outset.

What We C

3

PART I

Item 1

The Microsoft Cloud provides integration across the technology stack while offering openness, improving time to value, reducing costs, and increasing agility. Our cloud business benefits from three economies of scale: datacenters that deploy computational resources at significantly lower cost per unit than smaller ones; datacenters that coordinate and aggregate diverse customer, geographic, and application demand patterns, improving the utilization of computing, storage, and network resources; and multi-tenancy locations that lower application maintenance labor costs.

We prioritize security above all else and we offer our customers integrated AI-driven products addressing security, compliance, identity, management, and privacy across customers' multi-cloud, application, and device assets.

The Ambiti

more personal computing experiences that empower people to play, create, and interact with technology in more intuitive, engaging, and dynamic ways.

Our Future

Microsoft is
we announce
major chan
toward thes

LinkedIn

Dynamics Products and Cloud Services

Our Enterprise Mobility + Security offerings compete with products from a range of competitors including identity vendors, security solution vendors, and numerous other security point solution vendors.

Item 1

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Item 1

Server Products and Cloud Services

Azure is a
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mobile and
applications
infrastructure

Enterprise and Partner Services

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PART I

Item 1

We believe our server products provide customers with advantages in performance, total costs of ownership, and productivity by delivering superior applications, development tools, compatibility with a broad base of hardware and software applications, security, and manageability.

Our Enterprise and partner services business competes with a wide range of companies that provide strategy and business planning, application development, and infrastructure services, including multinational consulting firms and small niche businesses focused on specific technologies.

More Personal Computing

Our More P
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8

PART I

Item 1

The gamer remains at the heart of the XBOX ecosystem. We are identifying new opportunities to attract gamers across a variety of different end points through our first- and third-party content and business diversification across subscriptions, ads, and digital stores. We've seen new devices from third-party manufacturers along with key PC and mobile end points that help us empower gamers to play in a way that is most convenient to them. We are focused on growing the platform and expanding to new ecosystems to engage as many gamers as possible.

XBOX enables people to connect and share online gaming experiences that are accessible on XBOX consoles, Windows-enabled devices, and other devices. XBOX is designed to benefit users by providing access to a network of certified applications and services and to benefit our developer and partner ecosystems by providing access to a large customer base. XBOX revenue is mainly affected by subscriptions and sales of first- and third-party content, as well as advertising. Growth of our XBOX business is determined by the overall active user base through XBOX enabled content, availability of games, providing exclusive game content that gamers seek, the computational power and reliability of the devices used to access our content and services, and the ability to create new experiences.

Search Advertising

Our Search
digital com
enable use
first-party to
ability to att

Windows faces competition from various software products and from alternative platforms and devices. We believe Windows competes effectively by giving customers choice, value, flexibility, security, an easy-to-use interface, and compatibility with a broad range of hardware and software applications, including those that enable productivity.

Devices face competition from various computer, tablet, and hardware manufacturers who offer a unique combination of high-quality industrial

design and innovative technologies across various price points. Many of these manufacturers are also current or potential partners and customers, including our Windows OEMs.

XBOX and competes competitive entertainment

HUMAN CAPITAL RESOURCES

As of June employees, distribution, administrat

9

PART I

Item 1

OPERATIONS

We have a global operations service center covering the Americas, Asia Pacific, Europe, and the Middle East that supports our business operations, including customer contract and order processing, billing, credit and collections, customer lifecycle AI and cloud operations, and vendor management and logistics.

In addition and server on the avail other comp

There are few qualified suppliers for certain components of our servers and devices. Extended or unforeseen disruptions, or limited availability of components from these suppliers could impact our ability to operate our datacenters and manufacture devices on time to meet consumer demand.

RESEARC

Product and Service Development

Our success is based on our ability to create new and compelling products, services, and experiences for our users, initiate and embrace disruptive technology trends, enter new geographic and product markets, and drive broad adoption of our products and services. We make significant investments in research and development for new and existing products, services, and technologies, including tools and platforms spanning digital work and life experiences, cloud computing, AI, devices, security, and operating systems.

We develop most of our products and services internally which allows us to maintain competitive advantages that come from product differentiation and closer technical control over our products and services. It also gives us the freedom to decide which modifications and enhancements are most important and when they should be implemented. We strive to obtain information as early as possible about changing usage patterns and hardware advances that may affect software and hardware design. Before releasing new software platforms, and as we make significant modifications to existing platforms, we provide application vendors with a range of resources and guidelines for development, training, and testing.

We plan to and service appropriate contributes

DISTRIBUTION, SALES, AND MARKETING

Distribution occurs through a combination of direct and indirect channels. Direct sales activities serve customers ranging from large multinational enterprises and public sector organizations to small and medium-sized businesses. Indirect sales activities serve customers through a broad network of partners that support the sale, deployment, and management of Microsoft products and services worldwide.

The indirect
Sales and
multiple opt

We offer a range of volume purchasing programs that enable organizations of varying sizes to acquire software, cloud services, and related support benefits through direct and

partner-assisted purchasing arrangements. These programs provide customers with flexible purchasing, deployment, and management options and are tailored to large enterprises, mid-sized organizations, small businesses, educational institutions, and government entities.

GOVERN

We are subject to a wide range of laws, regulations, and legal requirements in the U.S. and globally, including those that may apply to our products, services, and infrastructure, and those that impose requirements related to user privacy, telecommunications, data storage and protection, advertising, and online content. These requirements are continually evolving, and they can be unclear and vary significantly across jurisdictions. We have implemented comprehensive compliance programs across our operations to adapt to these changes and to maintain customer and regulator confidence. We monitor regulatory developments around the world and implement policies, controls, and technical safeguards so that our operations, products, and services meet applicable legal standards. Our business teams, with legal support, manage the compliance programs and prepare external regulatory and commercial reporting, and our internal audit teams conduct reviews of the programs and processes. While we have a unified approach to regulatory compliance, some of the programs and processes are tailored to meet specific regulatory obligations, such as with the creation of independent compliance functions required by the European Union (EU) Digital Markets Act and the EU Digital Services Act, which oversee, monitor, and assess the company's compliance with these acts.

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INFORMATION ABOUT OUR EXECUTIV

E OFFICER

Name

Age

Position with the Company

Satya Nadella

58

Chairman and Chief Executive Officer
Judson B. Althoff

53

Chief Executive Officer, Microsoft Commercial Business
Amy L. Coleman

54

Executive Vice President and Chief Human Resources Officer
Amy E. Hood

54

Executive Vice President and Chief Financial Officer
Takeshi Numoto

55

Executive Vice President and Chief Marketing Officer
Bradford L. Smith

67

Vice Chair and President

Mr. Nadella was appointed Chairman of the Board in June 2021 and Chief Executive Officer in February 2014. He served as Executive Vice President, Cloud and Enterprise from July 2013 until that time. From 2011 to 2013, Mr. Nadella served as President, Server and Tools. From 2009 to 2011, he was Senior Vice President, Online Services Division. From 2008 to 2009, he was Senior Vice President, Search, Portal, and Advertising. Since joining Microsoft in 1992, Mr. Nadella’s roles also included Vice President of the Business Division.

Mr. Althoff
President a
until July 20
of Microsof
Aerospace.